

**Superior Court of the State of California
County of Orange**

DEPT C18 TENTATIVE RULINGS

Judge Theodore R. Howard

The court will hear oral argument on all matters at the time noticed for the hearing. If you would prefer to submit the matter on your papers without oral argument, please advise the clerk by calling (657) 622-5218. If no appearance is made by either party, the tentative ruling will be the final ruling. Rulings are normally posted on the Internet by 4:00 p.m. on the day before the hearing.

COURT REPORTERS WILL NO LONGER BE PROVIDED FOR TRIAL AND OTHER HEARINGS WHERE LIVE EVIDENCE WILL BE PRESENTED. IF A PARTY DESIRES A COURT REPORTER FOR ANY HEARING INCLUDING, BUT NOT LIMITED TO, LAW AND MOTION MATTERS, EX PARTE MATTERS AND CASE MANAGEMENT CONFERENCES, IT WILL BE THE RESPONSIBILITY OF THAT PARTY TO PROVIDE ITS OWN COURT REPORTER. PARTIES MUST COMPLY WITH THE COURT'S POLICY ON THE USE OF PRO TEMPORE COURT REPORTERS WHICH CAN BE FOUND ON THE COURT'S WEBSITE AT: [http://www.occourts.org/media/pdf/7-25-2014 Privately Retained Court Reporter Policy.pdf](http://www.occourts.org/media/pdf/7-25-2014%20Privately%20Retained%20Court%20Reporter%20Policy.pdf)

The Orange County Superior Court has implemented administrative orders, policies, and procedures noted on the Court's website to address the limitations and restrictions presented during the COVID-19 pandemic at Civil Covid-19. Due to the fluid nature of this crisis, you are encouraged to frequently check the Court's website at <https://www.occourts.org> for the most up to date information relating to Civil Operations.

Unless otherwise ordered by the Court, all Unlimited and Complex proceedings may be conducted via Zoom or in person. On the date of your hearing click the Department C18 Link to begin the remote online check in/Zoom appearance process:

<https://acikiosk.azurewebsites.us/?dept=C18>

Date: December 12, 2024

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1.	Nano Banc v. Aspiration Partners, Inc 22-1257513	The Motion for Leave to Amend, filed on 8/12/24 by Plaintiff Nano Banc ("Bank") is GRANTED. The Motion adequately complies with <i>C.R.C. 3.1324</i>, and the Opposition fails to show that the defense will suffer actual prejudice from allowing the amendment at this time. However, Bank's request that its proposed First Amended Complaint "be deemed filed and served as of the date this Motion" is DENIED. Bank is to file its First Amended Complaint within 5 days, and promptly serve same. <i>Counsel for Bank is to give notice of this ruling.</i>
2.	Ramirez v. General Motors, LLC 23-1308079	Before the Court is a motion to compel deposition of Defendant General Motors, LLC's ("Defendant") Person Most Qualified ("PMQ") filed by Plaintiff Deyamin Ramirez ("Plaintiff"). For the reasons set forth below, the motion is GRANTED IN PART and DENIED IN PART. Defendant is correct that a separate statement was required for this motion. (See <i>Cal. Rules of Court, rule 3.1345(a)</i>.) The motion asks the Court to compel Defendant to provide a PMQ for each of 30 stated categories, where Defendant asserted varying objections and responses to each. A separate statement is required for "[a]ny motion involving the content of a discovery request or the responses to such a request," including motions to "compel answers at a deposition." (<i>Cal. Rules of Court, rule 3.1345(a)(4)</i>.) Here, the Court is effectively being asked to consider the objections for each of those categories and rule on them. As a result, the Court finds a separate statement was required for this motion, to the extent it asks the Court to compel a PMQ deposition for the categories still in dispute, i.e., Category Nos. 5, 6, 8, 9, 11-16, 18, 19 and 21-29. Accordingly, the motion as to Category Nos. 5, 6, 8, 9, 11-16, 18, 19 and 21-29 is DENIED. (See <i>Mills v. U.S. Bank</i> (2008) 166 Cal.App.4th 871, 893.) With respect to the remaining categories, given Defendant's representation in its Objections that it would produce a witness as to Category Nos. 1-4, 7, 10, 17, 20 and 30, the motion is thus effectively seeking compliance, rather than a ruling on the objections. The motion is therefore GRANTED to the extent it seeks to compel Defendant to produce a PMQ for Categories 1-4, 7, 10, 17, 20 and 30, subject to any objections that may be made in such deposition as to either the scope, or the specific questions posed. Any disagreements not resolved in that process would then need to be addressed in a further meet and confer, with any remaining disputes

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		to be determined in a future motion submitted with a corresponding separate statement. Counsels are ordered to meet and confer to identify a mutually agreeable date for the PMQ deposition, with said deposition to be conducted within 45 days of the Court's ruling. Plaintiff's evidentiary objections are <i>OVERRULED</i>. <i>Counsel for Plaintiff is ordered to give notice.</i>
3.	Deris v. Toyota Motor Sales, U.S.A., Inc. 23-1335810	The Motion to Compel Further Responses to Plaintiff's Request for Production of Documents, Set One ("RFP") filed by Plaintiff Kazem Deris ("Plaintiff") against Defendant Toyota Motor Sales, U.S.A., Inc. ("Defendant" or "Toyota") is GRANTED IN PART and DENIED in part. Plaintiff seeks to compel further responses a number of requests in Request for Production (Set One). The court finds that meet and confer efforts were sufficient and that good cause exists for some of the documents requested by Plaintiff. Defendant has already produced responses to most of the RFPs at issue, however Plaintiff asserts those responses are not code-compliant. As to Nos 1 and 2, though Plaintiff asserts the responses are not code-compliant as they do not indicate that all documents or things demanded will be included in production, both responses indicate that Defendant "will comply with this request in full" by producing the documents listed. Accordingly, responses are sufficient and the motion is DENIED as to RFP Nos 1 and 2. The parties entered into a stipulated protective order and Defendant produced supplemental documents and responses in July, just as this motion was being filed. As Plaintiff's motion does not address those supplemental responses, it is DENIED as to those requests that have since been supplemented, Nos 28 and 29, 89, 91, 92. The Court finds good cause has been shown for some of what is requested as documents related to Defendant's policy and procedures used to evaluate customer requests for repurchase or replacement under the Song Beverly Act would be relevant to Defendant's good faith compliance with said Act. Further, documents related to Defendant's internal analysis or investigation regarding the defects claimed by Plaintiff in vehicles purchased in California for the same year, make and model of the subject vehicle would also be probative of Defendant's good faith compliance with the Act. In addition, documents regarding diagnostic/repair procedures followed is

probative of whether Defendant followed the appropriate repair procedures pertaining to the subject vehicle and whether Defendant had knowledge that the repairs were inadequate.

In addition, evidence of Defendant's knowledge of the claimed defect in other vehicles may prove relevant to Plaintiff's claims. (See *Doppes v. Bentley Motors, Inc.* (2009) 174 Cal.App.4th 967, 973-974, 978-979; see also, *Donlen v. Ford Motor Company* (2013) 217 Cal.App.4th 138, 154.)

However, the RFPs at issue are overbroad, particularly as to Plaintiff's definition of "BRAKE DEFECT(S)" and "TRANSMISSION DEFECT(S)". Indeed, per the Declaration of Rosario Stoliker offered in support of the motion, none of the issues identified in the definition of brake defect presented in the Subject Vehicle's repair history. Likewise, a number of the issues identified in the definition of transmission defect were not reasons the Subject Vehicle was presented for repair. Further, the requests are overbroad, requesting "All DOCUMENTS" regarding the defects in vehicles equipped with the same systems as the Subject Vehicle. This should be limited to vehicles purchased or leased in California for the same year, make and model of the Subject Vehicle.

The Court will thus **Grant in Part**, to compel Defendant to respond and produce documents for these RFPs only as to:

- a) Warranty Policy and Procedure Manual or similar policies or claim-handling procedures published by Defendant and provided to its authorized repair facilities, within the State of California, that was/were in place at the time the Subject Vehicle was purchased to the date the lawsuit was filed only if they concern the Subject Vehicle at issue;
- b) Defendant's written statements of policy and/or procedures used to evaluate customer requests for repurchase or replacement pursuant to "Lemon Law" claims, including those brought under the Song-Beverly Consumer Warranty Act, from the date the Subject Vehicle was purchased to the date the lawsuit was filed;
- c) A list or compilation of customer complaints in Defendant's electronically stored information database that are substantially similar to the alleged defects claimed by Plaintiff (1) in vehicles purchased or leased in California, and (2) are the identical year, make, and model of the Subject

Vehicle. A substantially similar customer complaint would be the same nature of reported symptom, malfunction, dashboard indicator light, or other manifestation of a repair problem as the description listed in any work order or repair order for the Subject Vehicle, other than routine or scheduled maintenance items. The list provided by Defendant may be in a chart or spreadsheet format and shall include the VIN, date of repair visit, dealership or other reporting location, and text of the other customers' reported complaint, but shall not include the other customers' names, addresses, phone numbers, e-mail addresses, or other personal identifying information;

- d) TSBs and Recall Notices for vehicles purchased or leased in California for the same year, make and model of the Subject Vehicle;
- e) Copies of any repair instruction, bulletin, or other diagnostic/repair procedure identified in any of the repair order/invoice records for the Subject Vehicle; and
- f) Non-privileged documents concerning any internal analysis or investigation regarding the alleged defects claimed by Plaintiff in vehicles purchased or leased in California for the same year, make and model of the Subject Vehicle.

Good cause has not been shown to compel further document production.

As to Defendant's objections, as discussed above, relevancy has been shown for some of what is requested. Defendant has failed to justify the burdensome/oppressive objection. "An 'objection based upon burden must be sustained by evidence showing the quantum of work required.'" (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Defendant also failed to establish preliminary facts to support its privilege objections and thus failed to meet its burden. (*Costco Wholesale Corp. v. Superior Court* (2009) 47 Cal.4th 725, 733.)

Defendant is to provide further verified responses and responsive documents in accordance with this ruling, within 45 days. Defendant is also to provide a privilege log for any responsive documents withheld on privilege grounds.

Counsel for Plaintiff is ordered to give notice.

4.	Tran v. Coast Community College District 24-1380332	Before the Court at present is a filing by Plaintiff Tom Tran ("Plaintiff"), identified as a "Motion for Continuance," which asks to continue "the trial date" of November 22, 2024. The Motion is DENIED. Although the Motion asked to continue a pending trial date, no trial date had yet or has yet been set in this case. What was pending on 11/22/24, when this Motion was filed, was a Case Management Conference, which has since been reset for 12/13/24. <u>However, from what has been filed by Plaintiff to date, proper service on the named defendant, identified as "Coast Community College District," still has not occurred.</u> What was filed by Plaintiff on 7/29/24, as ROA 12, does not purport to show service by someone who "is not a party to this action." (See <i>C.C.P. § 414.10</i> ["Any person who is at least 18 years of age and not a party to the action" may serve a summons.] [Emphasis added].) Nor does it identify how service was allegedly effectuated, and on whom. It thus does not demonstrate valid service. The Case Management Conference presently scheduled for 12/13/24 is therefore CONTINUED to January 31, 2025. Although Plaintiff is a self-represented litigant, the court must uniformly apply the procedural and substantive rules of the legal system, even as to a self-represented party. (See <i>Nwosu v. Uba</i> (2004) 122 Cal.App.4th 1229, 1246-1247.) Plaintiff therefore must comply with the applicable requirements of the <i>Code of Civil Procedure</i> (the "C.C.P.") and with the <i>California Rules of Court</i> (the "C.R.C"). He has not adequately done so here. Plaintiff can consult with the court's self-help center if he has any procedural questions about his case. <i>The Clerk is to give notice of this ruling.</i>
5.	Rico Garcia v. Anahop, Inc. 22-1245449	Defendant Anahop, Inc., dba IHOP's ("Defendant") unopposed Motion to Compel Mental Examination ("IME") of plaintiff Francisco Javier Rico Garcia ("Plaintiff") is GRANTED. An IME is a permissible method of discovery where the plaintiff claims mental and/or emotional injuries. (<i>Civ. Proc. Code §§ 2032.310 and 2032.320</i>.) Here, Plaintiff has claimed several past and ongoing mental/emotional injuries that allegedly resulted from the incidents alleged in the Complaint. (Complaint ¶¶ 42, 62, 72, 82, 92, 103, 112, 116-118.) Plaintiff also indicated in response to written discovery that he suffered from mental/emotional injuries due to the alleged facts of this case. (Valenti

		Decl. ¶ 6, Ex. 2 at FROG Nos. 6.1 – 6.3.) Good cause exists for an IME to be performed on Plaintiff. Although a proper demand for IME was made, Plaintiff refused and/or failed to appear for the examination. Plaintiff does not appear to have issued a formal objection to the demand and did not oppose the present motion. Plaintiff is ordered to appear for an IME before Dr. Judy Ho Gavazza, Ph.D., ABPP, ABPdN, CFMHE, at her office located at 1600 Rosecrans Avenue, Media Center 4th Floor, Manhattan Beach, CA 90266, at a date mutually convenient to Plaintiff and Dr. Ho, but not later than 20-days after the hearing on this motion. The tests and time limit permitted are those listed in the stipulation Defendant offered. (Valenti Decl., Ex. 7.) <i>Defendant to give notice.</i>
6.	Cortez v. Bhatt 23-1320179	Before the Court are three motions to compel compliance with deposition subpoenas filed by Defendant Meet Bhatt d.b.a. WaterMart ("Defendant"). The motions are CONTINUED to January 9, 2025, at 1:30 p.m. in Department C18. There are no proofs of service showing the deposition subpoenas or these motions were served on the nonparty witnesses. No oppositions were filed. It is thus unclear whether the subpoenas and these motions were properly served on the deponents such that compliance can be compelled. (See <i>Code Civ. Proc.</i>, § 2020.220(c); <i>Cal. Rules of Court</i>, rule 3.1346.) Defense counsel states in his declarations in support of the motions that the deposition subpoenas and these motions were served on the nonparty witnesses, but no proofs of service of same are submitted with the moving papers. Accordingly, the motions are CONTINUED as stated above to allow Defendant an opportunity to file proofs of service showing the deposition subpoenas and the moving papers were served on the nonparty witnesses as stated in counsel's declarations. Said proofs of service are to be filed at least 5 court days prior to the hearing. <i>Counsel for Defendant is ordered to give notice of this ruling.</i>
7.	Alimadadian v. M3Live Bar & Grill, Inc. 15-822570	Before the Court at present is the "Joint Motion of Judgment Creditor Cyrus Alimadadian and IRA Resources, Inc. to Remove IRA Resources Inc. as a Judgment Creditor," filed on 7/29/24. The Motion is GRANTED.

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		The Motion seeks a correction to remove "IRA Resources, Inc." as a creditor from the Amended Judgment, to show that the real party in interest is "CYRUS ALIMADADIAN, Individually and as Holder of IRA RESOURCES INC. FBO CYRUS ALIMADADIAN 35-36721." The Motion shows that such relief is appropriate here, as Cyrus Alimadadian is the real party in interest. Under <i>C.C.P. § 367</i>, every action must be prosecuted in the name of the real party in interest, except as otherwise provided by statute. The real party in interest, as to the assets held by IRA Resources, Inc. for Mr. Alimadadian, is Mr. Alimadadian. The Request for Judicial Notice filed as ROA 680 is GRANTED under <i>Ev. Code §452(d)</i>. Counsel for Mr. Alimadadian is to submit a proposed order in accordance with <i>C.R.C. 3.1312</i> which reflects the necessary correction, and to <i>give notice of this ruling</i>.
8.	Frank v. Schools First Federal Credit Union 24-1400014	Defendant SchoolsFirst Federal Credit Union's ("Defendant") demurrer to plaintiff Henrik Frank's ("Plaintiff") Complaint is SUSTAINED in part and OVERRULED in part. The court first notes Defendant failed to produce the required meet and confer declaration pursuant to <i>Civ. Proc. Code § 430.41</i>. In the future, if Defendant fails to properly meet and confer and produce the required declaration, the court may continue any hearing on demurrer to a date several weeks after any late meet and confer efforts have been accomplished. A demurrer challenges the defects appearing on the face of the pleading or from other matters properly subject to judicial notice. (<i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318 (<i>Blank</i>).) The issue is the sufficiency of the pleading, not the truth of the facts alleged. Thus, no matter how unlikely or improbable, the allegations made must be accepted as true for the purpose of ruling on the demurrer. (<i>Del E. Webb Corporation v. Structural Materials Co.</i> (1981) 123 Cal.App.3d 593, 604.) Absent court orders or other items subject to judicial notice, or items attached as exhibits to the complaint, the court may not consider the contents of pleadings or other exhibits when ruling on a demurrer. (<i>Day v. Sharp</i> (1975) 50 Cal.3d 904, 914; <i>Sosinsky v. Grant</i> (1992) 6 Cal.App.4th 1746, 1749.) "In our examination of the complaint we are guided by the well settled principles governing the testing of its sufficiency by demurrer: A demurrer admits all material and issuable facts properly pleaded. [Citations omitted.] However, it does not admit contentions, deductions or conclusions of fact or law alleged therein. [Citations

omitted.]" (*Daar v. Yellow Cab Co.* (1967) 67 Cal.2d 666, 672.)

Defendant demurs to the second, third, and fourth causes of action ("COA") based on Plaintiff's failure to state sufficient facts. (Civ. Proc. Code § 430.10(e).)

1) COA No. 2 – Breach of Implied Covenant of Good Faith and Fair Dealing

"There is no obligation to deal fairly or in good faith absent an existing contract. [Citation.] If there exists a contractual relationship between the parties. . . the implied covenant is limited to assuring compliance with the express terms of the contract and cannot be extended to create obligations not contemplated in the contract." (*Racine & Laramie, Ltd. v. Dep't of Parks & Recreation* (1992) 11 Cal. App. 4th 1026, 1032.) "If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated. Thus, absent those limited cases where a breach of a consensual contract term is not claimed or alleged, the only justification for asserting a separate cause of action for breach of the implied covenant is to obtain a tort recovery." (*Careau & Co. v. Sec. Pac. Bus. Credit, Inc.* (1990) 222 Cal. App. 3d 1371, 1395.)

"California courts have determined that the relationship of a bank-commercial borrower does not constitute a special relationship for the purposes of the covenant of good faith and fair dealing." (*Kim v. Sumitomo Bank* (1993) 17 Cal. App. 4th 974, 979.)

Plaintiff alleges Defendant breached its promise of good faith and fair dealing by failing to accept Plaintiff's mortgage payment on 05/03/24 and instead claimed Plaintiff was behind on his loan. (Complaint ¶¶ 89-90.) Plaintiff alleges he incurred substantial injury as the result, including the threat of foreclosure, loss of an opportunity to pursue other foreclosure prevention alternatives, and other damages. (Complaint ¶ 91.) The COA for breach of contract also alleges Defendant refused to accept Plaintiff's mortgage payments and to abide by the terms of the Nov. Mod., threatening Plaintiff with foreclosure (Complaint ¶¶ 74-81.)

The allegations under this COA do not go beyond the statement of a mere contract breach, rely on the same alleged facts as the first COA for breach of contract, and

seeks tort damages for his contract-based claims. This COA is therefore superfluous as pled.

The demurrer is **SUSTAINED** with leave to amend as to this COA.

2) COA No. 3 – Negligence

"The elements of a cause of action for negligence are well established. They are '(a) a legal duty to use due care; (b) a breach of such legal duty; [and] (c) the breach as the proximate or legal cause of the resulting injury.' " (*Ladd v. Cty. of San Mateo* (1996) 12 Cal. 4th 913, 917.) "[T]he existence of a duty is a question of law for the court." (*Kentucky Fried Chicken of Cal., Inc. v. Superior Court* (1997) 14 Cal. 4th 814, 819.)

Plaintiff breaks this COA into three different allegations of negligence. The first was regarding the November Modification ("Nov. Mod."), which does not state a downpayment was due and Defendant's refusal to accept Plaintiff's mortgage payments and threatening Plaintiff with foreclosure. (Complaint ¶¶ 108-110.) The second alleged act of negligence/harm was informing Plaintiff that he was behind on his mortgage payments towards the loan and Defendant's negligent accounting and threats to foreclosure on the mortgage. (Complaint ¶¶ 123-124.) Finally, Plaintiff alleges Defendant's negligence towards accepting Plaintiff's mortgage payments per the Nov. Mod. and insistence on collecting a \$10,000 downpayment, which caused Plaintiff emotional distress and increased blood pressure. (Complaint ¶¶ 34, 44, 49, 51-52, 59-60, 132, 141, 146, 149, 156-161.)

No where in the Complaint does Plaintiff allege any specific duty, nor any breach of said unspecified duty. The only allegations of breach are the breach of contract and the breach of implied covenant of good faith and fair dealing (which is superfluous to the first COA and properly demurred to).

The relationship between banks or lenders, and their loan customers, is not a fiduciary one. *Oaks Management Corp. v. Sup. Ct.* (2006) 145 Cal. App. 4th 453, 466; *Kim v. Sumitomo Bank* (1993) 17 Cal. App. 4th 974, 979; *Price v. Wells Fargo Bank* (1989) 213 Cal. App. 3d 465, 476. A lender does not have a duty of due care to borrowers under most circumstances. (*Nymark v. Heart Fed. Sav. & Loan Ass'n* (1991) 231 Cal.App.3d 1089, 1100 ("*Nymark*").) The California Supreme Court has found a lender owes no duty of care to a borrower in its processing of a loan modification application. (*Sheen v.*

Wells Fargo Bank, N.A. (2022) 12 Cal. 5th 905, 929 ("Sheen") [Analyzing *Nymark*.]

Absent a duty of due care, there can be no negligence claim.

Regarding Defendant's claim the economic loss rule bars the negligence claim, the economic loss rule, "functions to bar claims in negligence for pure economic losses in deference to a contract between litigating parties. ...Quite simply, the economic loss rule 'prevent[s] the law of contract and the law of tort from dissolving one into the other'." (*Sheen, supra*, 12 Cal.5th at 923 [citations omitted]). "In general, there is no recovery in tort for negligently inflicted "purely economic losses," meaning financial harm unaccompanied by physical or property damage." (*Id.*, at 922.) Plaintiff has adequately pled physical injuries related to health issues and increased blood pressure, as well as (potential) property loss should Defendant foreclose on the property. The economic loss rule does not appear applicable based on the allegations in the Complaint. However, the issue is moot as Plaintiff has not pled a duty or breach of duty to support a negligence COA.

The demurrer is **SUSTAINED** with leave to amend as to this COA.

3) COA No. 4 – Violation of Business & Professions Code § 17200

"The California Unfair Competition Law ["UCL"] (*[Bus. & Prof. Code] § 17200 et seq.*) defines "unfair competition" as "any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising." ' ' ' (*Graham v. Bank of America, N.A.* (2014) 226 Cal.App.4th 594, 609.)

"In contrast to its limited remedies, the unfair competition law's scope is broad. The unfair competition law's scope is broad. Unlike the Unfair Practices Act, it does not proscribe specific practices. Rather, as relevant here, it defines "unfair competition" to include "any unlawful, unfair or fraudulent business act or practice." [Citation.] Its coverage is "sweeping, embracing ' anything that can properly be called a business practice and that at the same time is forbidden by law." ' ' ' [Citations.] It governs "anti-competitive business practices" as well as injuries to consumers, and has as a major purpose "the preservation of fair business competition." [Citations.] By proscribing "any unlawful" business practice, "section 17200 'borrows' violations of other laws and treats them as unlawful practices" that the unfair competition law makes

independently actionable. [Citations.] [¶] However, the law does more than just borrow. The statutory language referring to "*any unlawful, unfair or fraudulent*" practice (italics added) makes clear that a practice may be deemed unfair even if not specifically proscribed by some other law. "Because *Business and Professions Code section 17200* is written in the disjunctive, it establishes three varieties of unfair competition-acts or practices which are unlawful, or unfair, or fraudulent. 'In other words, a practice is prohibited as "unfair" or "deceptive" even if not "unlawful" and vice versa.'" (*Cel-Tech Commc'ns, Inc. v. Los Angeles Cellular Tel. Co.* (1999) 20 Cal. 4th 163, 180.)

"[A] private person has no standing under the UCL unless that person can establish that the injury suffered and the loss of property or money resulted from conduct that fits within one of the categories of "unfair competition" in section 17200." (*Daro v. Superior Ct.* (2007) 151 Cal. App. 4th 1079, 1098.)

Plaintiff alleges Defendant's unfair acts included demanding a \$10,000 downpayment (Complaint ¶ 166), deeming Plaintiff's loan in default (Complaint ¶ 167), and refusing Plaintiff's mortgage payments (Complaint ¶ 168). Plaintiff contends he has been damaged in the amount of thousands of dollars in attorney's fees, late fees, and additional costs to the arrears on the loan and default amount to the point he now owes far more than what was owed prior to Defendant's alleged misconduct. (Complaint ¶¶ 41-42, 176.) Plaintiff has also allegedly lost the opportunity to modify the loan, and his home is subject to an imminent recording of a notice of default and subsequent foreclosure and eviction. (Complaint ¶ 177.) He contends he has spent at least \$73,000 to protect his property rights.

Defendant contends Plaintiff was already in default on the loan, which occurred before any alleged improper act on the part of Defendant, Plaintiff cannot therefore assert an impending foreclosure was caused by any wrongful act on the part of Defendant, and therefore Plaintiff cannot show any alleged violation had a causal link to Plaintiff's economic injury. (*Jenkins v. JP Morgan Chase Bank, N.A.* (2013) 216 Cal. App. 4th 497, 523.)

The complaint alleges Plaintiff was unable to pay his loan and that Defendant agreed to put the loan into forbearance. Plaintiff and Defendant eventually worked out a plan wherein Plaintiff would make monthly payments of \$3,299.87 towards the loan, which Plaintiff alleges he timely did, and which Defendant accepted. Despite Plaintiff allegedly making timely payments under

the Nov. Mod., which Defendant accepted, Defendant claimed Plaintiff did not make payments, Defendant began to issue late fee charges, and eventually refused to accept the agreed to monthly payments despite Plaintiff timely trying to pay them. Plaintiff has sufficiently pled a causal connection with Defendant's unfair refusal to accept timely agreed to payments from Plaintiff, which resulted in the late fees and additional costs/damages Plaintiff alleges.

Defendant citation to *Cel-Tech Commc'ns, Inc. v. Los Angeles Cellular Tele.* (1999) 20 Cal.4th 163, is not applicable here as that case involved an action by a competitor alleging anticompetitive practices, and the court's ruling was limited to that context and not to actions by consumers. (*Id.*, at 187 fn. 12.) Instead, *Podolsky v. First Healthcare Corp.* (1996) 50 Cal. App. 4th 632 appears more relevant. "[A] practice is prohibited as 'unfair' or 'deceptive' even if not 'unlawful' and vice versa." (*Podolsky v. First Healthcare Corp.* (1996) 50 Cal. App. 4th 632, 647.) "The independent "unfairness" prong of the UCA is "intentionally broad, thus allowing courts maximum discretion to prohibit new schemes to defraud. [Citation.] The test of whether a business practice is unfair 'involves an examination of [that practice's] impact on its alleged victim, balanced against the reasons, justifications and motives of the alleged wrongdoer. In brief, the court must weigh the utility of the defendant's conduct against the gravity of the harm to the alleged victim [Citations.]'" [Citation.] An unfair business practice occurs when the practice " 'offends an established public policy or when the practice is immoral, unethical, oppressive, unscrupulous or substantially injurious to consumers.' [Citation.]"

If Plaintiff's allegations are true, which the court must take as such on demurrer, Defendant intentionally instituted late fees on full and timely payments, later refused to accept full and timely payments, and threatened foreclosure, despite being contractually obligated to do the opposite, would support the "unfair" prong.

Plaintiff has sufficiently pled monetary loss directly caused by Defendant's unfair practice of not accepting full timely contractually agreed to payments and instead charging late fees and making threats to foreclosure on the Property.

Plaintiff's allegations are sufficient to support this COA currently.

The Demurrer is **OVERRULED** as to this COA.

		Plaintiff is given leave to file an amended complaint within 15-days of written notice of the ruling. <i>Defendant to give notice.</i>
9.	Shin v. Semapo Blockchain Institute, Inc. 23-1368524	The unopposed Demurrer by Defendants Semapo Blockchain Institute, Inc. and Kenneth H. An. To the Complaint filed by Plaintiff Keum Sook Shin is SUSTAINED with 14 days leave to amend. The role of a demurrer is "to test the legal sufficiency of a complaint." (<i>Donabedian v. Mercury Ins. Co.</i> (2004) 116 Cal.App.4th 968, 994, citations omitted.) In ruling on the demurrer, the court "treats the demurrer as admitting all material facts properly pleaded." "If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer." (<i>Quelimane Co., Inc. v. Stewart Title Guar. Co.</i> (1998) 19 Cal.4th 26, 38.) A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (<i>Cundiff v. GTE Cal., Inc.</i> (2002) 101 Cal.App.4th 1395, 1404-1405.) <i>Negligent Misrepresentation (2nd cause of action) and Fraud (3rd cause of action)</i> The elements of a fraud cause of action are: "(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage. [Citation.]" (<i>Small v. Fritz Companies, Inc.</i> (2003) 30 Cal.4th 167, 173, internal quotation marks omitted.) The elements of a negligent misrepresentation cause of action are the same as the ones for fraud except for the requirement of scienter. (<i>Bains v. Moores</i> (2009) 172 Cal.App.4th 445, 454.) "Every element of the cause of action for fraud must be alleged in the proper manner and the facts constituting the fraud must be alleged with sufficient specificity to allow defendant to understand fully the nature of the charge made." (<i>Stansfield v. Starkey</i> (1990) 220 Cal. App. 3d 59, 73.) This "strict requirement" of pleading "necessitates pleading facts which 'show how, when, where, to whom, and by what means the representations were tendered.'" <i>Id.</i> "The requirement of specificity in a fraud action against a corporation requires the plaintiff to

allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written." (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal. App. 4th 153, 157.)

While plaintiff alleges that she was falsely told that her balance was \$180,000 when it was only \$20,000, she does not allege when this misrepresentation was made or who made the misrepresentation. (Complaint ¶¶28, 37) Plaintiff also does not allege what action she took in reliance on the alleged misrepresentation.

Accordingly, the demurrer is **SUSTAINED** as to the Negligent Misrepresentation and Fraud causes of action.

Conversion (4th cause of action)

The elements of a conversion claim are: (1) plaintiff owned, possessed, or had a right to possess personal property; (2) defendant intentionally took possession of the property for a significant period of time, prevented plaintiff from having access to the property for a significant period of time, or destroyed the property; (3) plaintiff did not consent; (4) causation; (5) damages. (CACI 2100; *Lee v. Hanley* (2015) 61 Cal.4th 1225, 1240.)

While the defendants' conduct of taking out a loan is alleged to have been improper, the plaintiff has not pled the facts to establish conversion. Plaintiff does not sufficiently identify what property she owned that the defendant took from her. All that is alleged is that loans were taken out using the plaintiff's crypto as collateral. Plaintiff does not allege how the taking out of a loan using the crypto as collateral prevented plaintiff from having access to the crypto, or that she even tried to gain access to the crypto. Further, plaintiff fails to allege how she suffered damages as a result of the loan.

Accordingly, the demurrer is **SUSTAINED** as to the Conversion cause of action.

Fraudulent Conveyance (5th cause of action)

Under the Uniform Fraudulent Transfer Act (*Cal. Civ. Code § 3439 et seq.*), a fraudulent conveyance is a transfer of an asset or interest by the debtor to a third person

undertaken with the intent to prevent a creditor from reaching the transferred interest to satisfy its claim. (*Yaesu Electronics Corp. v. Tamura* (1994) 28 Cal.App.4th 8, 13.) A transfer is fraudulent, both as to present and future creditors, when it is made “[w]ith actual intent to hinder, delay, or defraud any creditor of the debtor.” Even absent actual fraudulent intent, a transfer may be deemed fraudulent if the debtor did not receive “a reasonably equivalent value in exchange for the transfer.” (*Mejia v. Reed* (2003) 31 Cal.4th 657, 664; see also *Cal. Civ. Code*, §§ 3439.04, 3439.05.)

Here, plaintiff has failed to allege sufficient facts to establish a fraudulent conveyance. For example, there is no allegation of a transfer by the debtor to a third party to prevent a creditor from reaching the transferred interest to satisfy a debt.

Accordingly, the demurrer to the Fraudulent Conveyance cause of action is **SUSTAINED**.

Unjust Enrichment (6th cause of action)

Defendant asserts that unjust enrichment is not a separate cause of action but is instead general principle. However, on a demurrer, the test is whether the complaint states any valid claim entitling plaintiff to relief, even if plaintiff’s cause of action is improperly titled, or an improper remedy is stated. (*Quelimane Co., Inc. v. Stewart Title Guar. Co.* (1998) 19 Cal.4th 26, 38 [“If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer.”].) Thus, although Plaintiff cannot bring an unjust enrichment cause of action, the cause of action will be sufficient on demurrer if the complaint establishes a cause of action for restitution.

Nonetheless, plaintiff has failed to plead a cause of action for Restitution. (See *CACI* 375) For example, there are no details pled as to the loan(s) that were purportedly taken out such as from whom or when. The plaintiff has therefore failed to plead that money which was rightfully plaintiff’s was “received from” a third party by the defendants. Also, there are no facts pled as to who took out which loans as plaintiff only alleges that all defendants took out the loans. (Complaint ¶62)

Accordingly, the demurrer to the Unjust Enrichment cause of action is **SUSTAINED**.

		The Demurrer is sustained with 14 days leave to amend. However, leave to amend is granted only as to the specific causes of action to which the Demurrer was sustained. Leave to amend is NOT granted to alter/amend other portions of the complaint or to add/amend other causes of action. If plaintiff seeks leave to amend, such must be done pursuant to <i>CCP §473</i> and the appropriate rules. <i>Counsel for the defendants is ordered to give notice of this ruling.</i>
10.	Farkas v. Smith 23-1324888	Plaintiffs/Cross-Defendants Joel Farkas ("Farkas"), Gateway American Resources, LLC ("Gateway"), and Kings Co. LLC ("Kings" individually; "Plaintiffs" all together), and cross-defendant and Latitude Accounting LLC's ("Latitude" individually; "CD" together with Plaintiffs) Demurrer to defendant/cross-complainant Jennifer Blair Smith's ("Defendant") Second Amended Cross-Complaint ("SAXC") is SUSTAINED. A demurrer challenges the defects appearing on the face of the pleading or from other matters properly subject to judicial notice. (<i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318.) The issue is the sufficiency of the pleading, not the truth of the facts alleged. Thus, no matter how unlikely or improbable, the allegations made must be accepted as true for the purpose of ruling on the demurrer. (<i>Del E. Webb Corporation v. Structural Materials Co.</i> (1981) 123 Cal.App.3d 593, 604.) Absent court orders or other items subject to judicial notice, or items attached as exhibits to the complaint, the court may not consider the contents of pleadings or other exhibits when ruling on a demurrer. (<i>Day v. Sharp</i> (1975) 50 Cal.3d 904, 914; <i>Sosinsky v. Grant</i> (1992) 6 Cal.App.4th 1746, 1749.) "In our examination of the complaint we are guided by the well settled principles governing the testing of its sufficiency by demurrer: A demurrer admits all material and issuable facts properly pleaded. [Citations omitted.] However, it does not admit contentions, deductions or conclusions of fact or law alleged therein. [Citations omitted.]" (<i>Daar v. Yellow Cab Co.</i> (1967) 67 Cal.2d 666, 672.) Defendant demurs to all three causes of action ("COA") on the bases that they fail to state sufficient facts to constitute a COA (<i>Civ. Proc. Code § 430.10(e)</i>).

CD demur to causes of action ("COA") Nos. 1, 2, and 6 of the SAXC on the basis they fail to state sufficient facts to constitute COA. (*Civ. Proc. Code § 430.10(e).*)

1) *COA No. 1 – Violation of Federal Racketeer Influenced And Corrupt Organizations Act*

"RICO renders criminally and civilly liable "any person" who uses or invests income derived "from a pattern of racketeering activity" to acquire an interest in or to operate an enterprise engaged in interstate commerce, § 1962(a); who acquires or maintains an interest in or control of such an enterprise "through a pattern of racketeering activity," § 1962(b); who, being employed by or associated with such an enterprise, conducts or participates in the conduct of its affairs "through a pattern of racketeering activity," § 1962(c); or, finally, who conspires to violate the first three subsections of § 1962, § 1962(d)." (*H.J. Inc. v. Nw. Bell Tel. Co.* (1989) 492 U.S. 229, 232–33.)

"RICO defines the term "enterprise" to include (1) "any individual, partnership, corporation, association, or other legal entity," and (2) "any union or group of individuals associated in fact although not a legal entity." 18 U.S.C. § 1961(4). At issue in the present appeal are the minimum requirements for an associated-in-fact enterprise. The Supreme Court has held that a group of individuals associated in fact for wholly unlawful ends could constitute an enterprise for purposes of RICO. [Citation.] According to the Court, establishing the existence of an associated-in-fact enterprise requires proof (1) of an ongoing organization, formal or informal, and (2) that the various associates function as a continuing unit." (*Chang v. Chen*, 80 F.3d 1293, 1297 (9th Cir. 1996), overruled by *Odom v. Microsoft Corp.*, 486 F.3d 541 (9th Cir. 2007).)

" ` "To support a claim under RICO, it is not enough that the defendant engaged in a racketeering activity; rather, the plaintiff must also establish a pattern, of racketeering activity. In this respect RICO is vague, stating only that a pattern requires at least two predicate acts of racketeering activity. (18 U.S.C. § 1961(5).) In common parlance two of anything rarely forms a pattern, and it appears clear that Congress intended to require a minimum of two acts but not to provide

that two acts are necessarily sufficient. [Citations], the court eschewed rigid formulae and held that the determination of a pattern of racketeering activity requires case-specific analysis of the facts with emphasis on the relationship and continuity of the predicate acts. In this analysis, "relationship" refers to the predicate acts' relationship with each other with regard to whether they " 'have the same or similar purposes, results, participants, victims, or methods of commission, or otherwise are interrelated by distinguishing characteristics and are not isolated events.' " (*Gervase v. Superior Ct.* (1995) 31 Cal. App. 4th 1218, 1232.)

Defendant has sufficiently alleged facts supporting an enterprise between the four CD, John C. Price, and RubinBrown LLP. Although Farkas is alleged to be a member-manager of both Gateway and Kings, those two entities are alleged to be separate from one another and not employees of one another that might otherwise prohibit an enterprise. Additionally, Latitude, Price, and RubinBrown are alleged to be distinctive individual entities which would support an enterprise. (*Living Designs, Inc. v. E.I. Dupont de Nemours & Co.*, 431 F.3d 353, 361–62 (9th Cir. 2005).)

Defendant has alleged Farkas, Gateway, and Kings participated in both mail and wire fraud, which are covered under RICO statutes. (*18 USC § 1341*, *18 USC § 1343*.) For both mail and wire fraud, the scheme must be undertaken with the intent of either obtaining money or property from the victim or defrauding the victim. (*Id.*) Defendant has not alleged any scheme by CD to obtain any money or property from Defendant. This leaves the element of an attempt to defraud Defendant. To defraud is, "[t]o cause injury or loss to (a person or organization) by deceit." (DEFRAUD, *Black's Law Dictionary* (11th ed. 2019).)

CD argue Defendant's knowledge of the allegedly false 1099-NEC preclude fraud as an element of fraud is deceit. However, while Defendant would have known the 1099-NEC were false and would not have been deceived by them, the IRS and FTB would not necessarily know the 1099-NEC were fraudulent. It is unclear from the arguments, cases, and statutes if fraudulent reporting that causes damage to another supports "defrauding" third-party. Defendant cites to *Lewis v. Superior Court* (1990) 217 Cal. App 3d 379 (" *Lewis* ") for the term "defraud" to mean injure someone in the pecuniary or

property rights. (*Id.*, at 394.) The definition in *Lewis* came from statutes involving forgery and obtaining money or property by means of false or fraudulent pretenses, representations, or promises. The second case, *People v. Isom* 17 (2015) 240 Cal. App. 4th 1146, merely cites to *Lewis*. All of the cases cited are in essence attempts by one party to take something from another party for the benefit/use of the first party. None of them involve making false reports to an authority entity for the purposes of causing injury.

Defendant is also required to allege an ongoing pattern, or continuity. There are two types of continuity, open-ended and closed-ended. "[O]pen-ended continuity exists where "the racketeering acts themselves include a specific threat of repetition extending indefinitely into the future," or "where it is shown that the predicates are a regular way of conducting defendant's ongoing legitimate business." (*Pier Connection, Inc. v. Lakhani*, 907 F. Supp. 72, 75–76 (S.D.N.Y. 1995)("*Pier*").) Defendant has not alleged open-ended continuity as the 1099-NEC were only emailed once and then mailed the following day to Defendant. Defendant has not alleged the actions of CD are ongoing or threaten to extend indefinitely.

"Closed-ended continuity may be demonstrated by showing a "series of related predicates extending over a substantial period of time." [Citation.] The *H.J. Inc.* Court did not define "substantial," beyond stating that "[p]redicate acts extending over a few weeks or months and threatening no future criminal conduct do not satisfy this requirement." *Id.* In working with the "few weeks or months" standard, the Second Circuit has contrasted racketeering activity that is inherently unlawful (such as murder, obstruction of justice, narcotics trafficking and embezzlement) with racketeering activity "in furtherance of endeavors that are not inherently unlawful, such as frauds in the sale of property." [Citation.] With respect to the latter, "the courts generally have found no threat of continuing criminal activity arising from conduct that extended over [periods] even longer" than a few weeks or months. [Citation.]" (*Pier, supra*, 907 F. Supp. at 77.) "[A] scheme's duration alone is not dispositive. Rather, the court must examine the "overall context in which the acts took place." [Citation.] This context includes the number of victims of the scheme and the number and extent of the perpetrators' goals. Numerous cases reveal that district courts in this Circuit, when deciding whether plaintiffs have pled a closed-ended continuous pattern under RICO, routinely consider such contextual issues as

		well as the duration of a scheme.” (<i>Id.</i>, at 78.) Courts have found that in cases where there is only one victim, and the duration is short that the complaining party failed to establish close-ended continuity. (<i>Id.</i>) Here, it appears the acts of sending the 1099-NEC occurred over two-days on 05/03/23 and 05/04/23. (FAXC ¶ 40.) Two-days would not be sufficient to support close-ended continuity. Although Defendant alleges Farkas’s multiple statements to Defendant that Farkas would take of Defendant financially over a lengthy period, those statements even if done over text/email do not support mail/wire fraud as there are no allegations/correlation those statements were meant to harm Defendant by way of the report to the IRS/FTB. Additionally, the filing of the present lawsuit and amended complaint and the making of a police report do not support an attempt to defraud Defendant by mail/wire. Finally, Defendant is the only alleged victim of the acts. As alleged, those are separate acts that do not constitute a close-ended continuity. “[A] scheme's duration alone is not dispositive. Rather, the court must examine the “overall context in which the acts took place.” [Citation.] This context includes the number of victims of the scheme and the number and extent of the perpetrators' goals. Numerous cases reveal that district courts in this Circuit, when deciding whether plaintiffs have pled a closed-ended continuous pattern under RICO, routinely consider such contextual issues as well as the duration of a scheme.” (<i>Id.</i>, at 78.) Courts have found that in cases where there is only one victim, and the duration is short that the complaining party failed to establish close-ended continuity. (<i>Id.</i>) Again, Defendant has alleged a very short duration of two-days for the mail and wire fraud and that Defendant was the only victim of the alleged RICO acts. None of the “new” acts alleged such as Farkas’s promises to financially take care of Defendant, the filing of the complaints in this action, or the filing of a police report, even though done over a lengthier period than the two-days when the 1099-NEC were sent support the elements of wire/mail fraud. Defendant has failed to plead sufficient facts to support this COA. The Demurrer is SUSTAINED with one final leave to amend this COA. 2) COA No. 2 – Civil Extortion
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"(a) Every person who, with intent to extort property or other consideration from another, sends or delivers to any person any letter or other writing, whether subscribed or not, expressing or implying, or adapted to imply, any threat such as is specified in Section 519 is punishable in the same manner as if such property or other consideration were actually obtained by means of such threat." (*Penal Code § 523.*)

"Extortion has been characterized as a paradoxical crime in that it criminalizes the making of threats that, in and of themselves, may not be illegal. '[I]n many blackmail cases the threat is to do something in itself perfectly legal, but that threat nevertheless becomes illegal when coupled with a demand for money.' " (*Stenehjem v. Sarren* (2014) 226 Cal. App. 4th 1405, 1418.)

The only threat alleged by Defendant was a verbal threat Farkas made to sue Defendant and "take her down." (SAXC ¶ 53.) Under *Penal Code § 523*, the intent to extort must be made in a letter or other writing. As Farkas's alleged threat was verbal, it does not qualify as civil extortion under the code.

Defendant next alleges CD allegedly fraudulently prepared and sent the 1099-NEC. (SAXC ¶¶ 53.) However, there are no allegations of any threat in exchange for property in the 1099-NEC forms. There are no allegations CD attempted to extort property or other consideration from Defendant. Any monies or property Defendant might owe the IRS and FTB as the result of the 1099-NEC would not be sent to CD, but to the respective tax boards.

Defendant cited to the matter of *Tran v. Nguyen* (2023) 97 Cal. App.5th 523, to support the opposition, however that case noted, "[e]xtortion is the obtaining of property or other consideration from another. . ." (*Id.*, at 529.) Again, Defendant has alleged nothing CD attempted to obtain from Defendant.

Defendant has failed to plead sufficient facts to support this COA. The Demurrer is **SUSTAINED** with one final leave to amend this COA.

3) COA No. 6 – Negligent Misrepresentation

"The elements of a negligent misrepresentation are '(1) the misrepresentation of a past or existing material fact, (2) without reasonable ground for believing it to be true, (3) with intent to induce another's reliance on the fact

	misrepresented, (4) justifiable reliance on the misrepresentation, and (5) resulting damage.' [Citation.] Negligent misrepresentation does not require knowledge of falsity" (<i>Borman v. Brown</i> (2021) 59 Cal. App. 5th 1048, 1060.) " 'Where the defendant makes false statements, honestly believing that they are true, but without reasonable ground for such belief, he may be liable for negligent misrepresentation, a form of deceit.' [Citations.]" [Citation.] Whether a defendant had reasonable ground for believing his or her false statement to be true is ordinarily a question of fact." (<i>Quality Wash Grp. V, Ltd. v. Hallak</i> (1996) 50 Cal. App. 4th 1687, 1696.) Defendant alleged Latitude provided accounting services for Gateway and Kings and that on 05/03/23, Latitude sent the 1099-NEC to Defendant, the IRS, and the FTB. (SAXC ¶¶ 83-85.) The 1099-NEC reported non-employee compensation of \$1,280,324.80 by Gateway LLC and \$293,451.89 by Kings. Defendant never was employed by or provided services to Gateway or Kings and neither Gateway nor Kings had reasonable grounds to believe Defendant was the recipient of non-employee compensation. (SAXC ¶¶ 85-86.) On 06/07/23, Defendant notified Latitude that she had not provided services to Gateway or Kings. (SAXC ¶¶ 87-88.) Defendant alleged Latitude had no idea why the 1099-NEC was issued and therefore had no reasonable grounds to believe the 1099-NEC was proper as evidenced by an email exchange attached to the SAXC. (SAXC ¶¶ 88-89.) Defendant further alleged she justifiably relied upon the representations in the two 1099-NEC (despite knowing they were allegedly false). (SAXC ¶ 91.) Plaintiff alleges she was damaged by the refusal to retract the 1099-NEC and in costs incurred related to the filing. (SAXC ¶ 92.) Defendant contends Latitude made the representations with the intention of inducing Defendant to act on them, however Defendant made no allegations as to what act she performed based on the misrepresentation, or that she justifiably relied upon the misrepresentations as Defendant knew the 1099-NEC were fake upon receipt. Elements three and four have not been sufficiently pled. The new allegations do not support the required elements of this COA. Defendant has failed to plead sufficient facts to support this COA. The Demurrer is SUSTAINED with one final leave to amend this COA.
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		Defendant is granted leave to file a final amended cross-complaint within 10-days of the hearing. <i>CD to give notice.</i>
11.	Gooding v. Hought 22-1271459	The Motion for Summary Judgment, or in the alternative Summary Adjudication, filed by Defendant Harbor View Hills Community Association ("Defendant" or "HOA") is DENIED. A defendant seeking summary judgment bears its burden of showing that a cause of action has no merit if the defendant shows that one or more elements of the cause of action cannot be established, or that the defendant has a complete defense to the cause of action. (<i>CCP § 437c(p)(2)</i>; <i>Aguilar v. Atlantic Richfield Co.</i> (2001) 25 Cal.4th 826, 850-51.) If a defendant does not meet this initial burden, the plaintiff need not oppose the motion and the motion must be denied. (<i>Binder v. Aetna Life Ins. Co.</i> (1999) 75 Cal.App.4th 832, 840.) If the defendant meets this initial burden, the burden shifts to the plaintiff to produce evidence demonstrating the existence of a triable issue of material fact. (<i>CCP §437c(p)(2)</i>; <i>Aguilar</i>, 25 Cal.4th at 850-51.) Issue 1: Third Cause of Action- Breach of Governing Documents The claim for breach of the governing documents is a breach of contract claim. (See <i>Harvey v. The Landing Homeowners Assn.</i> (2008) 162 Cal. App. 4th 809, 817.) To the extent the law or governing documents conflict, <i>Section 4205</i> of the Davis-Stirling Common Interest Development Act (<i>Civ. Code, §§ 4000 et seq.</i>; "Davis-Stirling Act") sets forth the weight of authority from greatest to least: (1) law, (2) the CC&Rs, (3) the articles of incorporation, (4) the bylaws, and (5) the operating rules. (<i>Civ. Code, §§ 4135, 4205.</i>) Plaintiffs allege the governing documents were breached "by: f. failing to enforce the Governing Documents against Hought; g. failing to enjoin Hought's wrongful conduct; h. selectively and disparately enforcing the Governing Documents in violation of its obligations under the Governing Documents and the Davis-Stirling Act including but not limited to its obligation to follow the Governing Documents for the benefit of each owner of the properties described in the Governing Documents;

- i. violating Plaintiffs' substantive and procedural due process rights under the Governing Documents, California Law, and Federal Law including willfully omitting Plaintiffs from communications related to owners' objections to the Houpt construction project, failing to provide timely notice to owners, and denial of owners' rights to appeal; and
- j. breaching the Governing Documents, including but not limited to Sections 1, 4, 5, 6, 12, 13, 19 of the Architectural Guidelines; Article VI, Section 1, Article VII Section 1(a), and Article X, Section 1 of the CC&Rs; and Article VII, Section 7 of the Bylaws." (Complaint ¶ 81.)

Defendant relies heavily on the judicial deference rule as a complete defense to all causes of action. That rule states that "[a] mistake of judgment on the part of a board of directors does not justify taking the control of corporate affairs from the board of directors and placing it with the stockholders. The board of directors may make incorrect decisions, as well as correct ones, so long as it is faithful to the corporation and uses its best business judgment." (*Beehan v. Lido Isle Community Assn* (1977) 70 Cal.App.3d 858, 866-867.) Such decisions "must be judged in light of the facts at the time the board considered the matter." (*Id.* at 866.)

While the judicial deference rule may shield Defendant from liability as to the approval of the plans based on the impact on various residents' views under Dolan-King, Defendant presents no authority to suggest that it shields against the alleged failure to notify Plaintiffs under the Guidelines. (See *Dolan-King v. Rancho Santa Fe Assn.* (2000) 81 Cal.App.4th 965, 978-979 [trial court cannot substitute its judgment the Association's judgment in applying building restrictions].) All cases cited indicate the rule applies when the Association is exercising some measure of discretionary power, not to alleged violations of the Association's own rules and guidelines. (See *Haley v. Casa Del Rey Homeowners Assn.* (2007) 153 Cal.App.4th 863, 875; *Watts v. Oak Shores Community Assn.* (2015) 235 Cal.App.4th 466, 473-75; *Beehan v. Lido Isle Community Assn.* (1977) 70 Cal.App.3d 858, 866-67.)

While Defendant asserts that Mr. Gooding had no right to notification of the preliminary approval under Section 5.3.7(d) of the Guidelines because "Mr. Gooding ceased to be a complaining neighbor" when he was shown the plans and did not comment. (Motion, page 20, lines 26-27.) Section 5.3.7(d) provides "When the ARC completes its review of the application, a letter indicating approval

or disapproval is sent to the applicant, with copies to affected Association Members. There is a two-week period for appeal (to the HVHCA Board) of the ARC decision. Plans are not considered approved until signed by the ARC Chairperson or a designated ARC Member." (UMF 53.)

Defendant does not cite any provision in the guidelines that defines "affected Association Members", but does cite a provision at Section 5.3.4(d)(i) where "ARC recommends Applicants obtain review comments from two (2) neighbors on each side, two (2) neighbors below, and four (4) neighbors upslope." (UMF 37.) Section 5.3.4(d) does define "potentially affected neighbor" as "any neighbor in whose line of vision construction occurs". (Plaintiffs' Additional Material Facts ("AMF") 102.) As Mr. Gooding did contact the Association in response to the original staking, who instructed Defendant Houpt to include Gooding in the notifications, it is clear that he was, at the very least, a potentially affected neighbor.

Defendant argues that Plaintiffs miss the distinction in the Guidelines between "potentially affected neighbors" and "affected members", as all of their arguments are based on the definition of the former, not the latter. However, Defendant never points to a definition of "affected member" in asserting that Plaintiffs do not qualify. Without a clear definition of "affected members", as opposed to "potentially affected neighbors", Defendant cannot establish that Plaintiffs were not entitled to notice of the preliminary approval and the start of the two-week appeal period to allow them to appeal to the Board. As such Defendant has not met their initial burden to show either a complete defense or that Plaintiffs cannot establish, as a matter of law, some element of the claim.

Accordingly, summary judgment and summary adjudication of this claim is **DENIED**.

Issue 2: Fourth Cause of Action- Breach of Fiduciary Duty

The elements of a claim for breach of fiduciary duty are: (i) the existence of a fiduciary relationship; (ii) its breach; and (iii) damage proximately caused by that breach. (*Tribeca Companies, LLC v. First American Title, Ins.* (2015) 239 Cal.App.4th 1088.) Associations owe a fiduciary duty to their members. (*Raven's Cove Townhomes, Inc. v. Knuppe Development Co.* (1981) 114 Cal.App.3d 783; *Cohen v. Kite Hill Community Assn.* (1983) 142 Cal.App.3d 642.) As the same breaches are alleged for this claim as the third cause of action, Defendant's arguments are minimal, asserting merely

that "the Association afforded Plaintiffs ample due process, treated them the same or better than as other owners, and made its decision in a reasonable and expeditious manner." (Motion, page 21 lines 26-28.)

As noted above, Defendant has failed to establish that it was not required to give notice to Plaintiffs, particularly Gooding, under the Guidelines. As it is unclear whether Plaintiffs were entitled to notice and the opportunity to appeal, Defendant cannot establish, as a matter of law, that Plaintiffs' breach of fiduciary duty claim fails or that the judicial deference rule is a complete defense based on the alleged failure to comply with the HOA's own rules. Accordingly, summary judgment and summary adjudication on this cause of action is **DENIED**.

Issue 3: Fifth Cause of Action- Declaratory and Injunctive Relief

A cause of action for declaratory relief has two elements: (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the rights or obligations of a party. (*Brownfield v. Daniel Freeman Marina Hosp.* (1989) 208 Cal.App.3d 405, 410.) Defendant's burden is to show the plaintiff is not entitled to a declaration in its favor by establishing: (1) the sought-after declaration is legally incorrect, (2) undisputed facts do not support the premise for the declaration, or (3) the issue is otherwise not one that is appropriate for declaratory relief. (*Id.* at 1042.)

Again, Defendants rely entirely on the judicial deference rule as a complete defense to all claims. However, as noted above, that rule does not bar Plaintiffs' claims against the Association. Thus, summary judgment adjudication as to this issue is **DENIED**.

Issues 4-6: Punitive Damages

Defendant asserts that the complaint does not support an award of punitive damages as to any of the claims against the Association. As indicated in the Opposition, Plaintiffs are not seeking punitive damages against the HOA at all. The prayer for punitive damages is only as to the fraud causes of action against Defendant Houpt. Accordingly, the motion is **MOOT** as to these three issues.

Based on the ruling above, summary judgment is **DENIED**, and summary adjudication is **DENIED** as to issues one, two, and three. Summary adjudication is **MOOT** as to issues four, five and six.

Moving party to give notice.

12.	Malone v. McCloud Bros Inc. 22-1295099	The Motion for Summary Judgment, or alternatively for Summary Adjudication by McCloud Bros. Inc. ("McCloud") is DENIED, as set forth herein. The Complaint asserts two causes of action arising from the auto accident. The first is for Motor Vehicle and the second is for General Negligence. Both causes of action are based on plaintiff's allegation that Cody Miller was negligent in the operation of the vehicle and was employed by McCloud Bros. Inc. at the time he operated the vehicle. Plaintiff asserts that as a result of Cody Miller being employed by McCloud Bros. Inc. at the time of the accident, McCloud is vicariously liable for her injuries. (Complaint ¶¶10, MV-2, GN-1) An employer is vicariously liable for its employee's conduct when the employee was acting within the scope of her employment. (<i>CACI No. 3701</i>) McCloud does not argue or submit evidence that it is not vicariously liable. Miller's status at the time of the accident is not disputed. McCloud states in the motion that it hired Miller as an Operator on 6/29/20. (UMF 6) McCloud owned the vehicle Miller was driving at the time of the accident. (UMF 4) At the time of the accident, Miller was working for McCloud. (UMF 3) While the complaint includes alternative allegations of negligent entrustment, hiring, supervision and retention of Miller, there remains a question of fact as to whether McCloud is vicariously liable for the negligence of its employee. Since McCloud has not met its burden of establishing that it is not vicariously liable for the acts of its employee, the motion is DENIED. In addition to the foregoing, the motion is also DENIED pursuant to <i>CCP §437c(h)</i>. This subsection states in part that "if it appears from the affidavits submitted in opposition to a motion for summary judgment or summary adjudication, or both, that facts essential to justify opposition may exist but cannot, for reasons stated, be presented, the court shall deny the motion, order a continuance to permit affidavits to be obtained or discovery to be had, or make any other order as may be just." Here, Plaintiff submits evidence that Miller has failed to appear for his court ordered deposition on 10/21/24. (Aaron Miller Decl. ¶7; Exhs. C-D) The history leading up to the discovery motion that resulted in the order to appear, along with plaintiff's subsequent conduct, is evidence of plaintiff's diligence in attempting to obtain
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		discovery. It is axiomatic that the driver of the vehicle would likely have "facts essential to justify opposition" to the motion and pertaining to the allegations in the complaint. Although McCloud and Miller are both represented by the same attorneys, the defense offers no evidence relating to the failure to appear or an assurance that Miller would appear for deposition if the hearing on this motion were continued. Accordingly, the motion is DENIED on this ground as well. <i>Counsel for the defendants is ordered to give notice of this ruling.</i>
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